

ECONOMY — Fundamental Principles & Microeconomics

Batch 1 of 10 · Sources: Parmar SSC Fatman 2nd Ed. 2026 (Economics Ch.1–2, full) + Lucent's GK 2026 (Ch.06 §2, full) · Complete source coverage, not just PYQ-tested facts · ★ = tested in a real past SSC paper (exam+date+shift cited in A.1) · PYQ bucket "01 Fundamental Principles of Economy" (47 Qs)

1 Economics — Definitions & Branches

Economics = study of how people/businesses/governments use limited resources to produce, distribute, consume goods & services → split into **Macroeconomics** and **Microeconomics**.

Aspect	Macroeconomics	Microeconomics
Definition	Studies the economy as a whole	Studies individual consumers, firms, markets
Approach	Top down	Bottom up
Focus area	Govt/country actions influencing aggregate demand/supply, prices, etc.	Individual/business actions — demand, supply, etc.
Scope	Large-scale, entire economy	Small-scale, specific sector
Father	J.M. Keynes (England) — <i>General Theory of Employment, Interest and Money</i> ★	Adam Smith (Founding Father of Modern Economy) — <i>The Wealth of Nations</i>
Examples	GDP, inflation rates, fiscal policies, national income, unemployment rates ★	Pricing of a product, consumer behaviour, market competition

HOOK PESTEL/PESTAL analysis — **E = Economic** ★ (interest rates, inflation, growth); 6 factors: Political, Economic, Social, Technological, Environmental, Legal.

Economy vs Economics (Lucent)

Economy = the state of a country/region re: production & consumption of goods/services and money supply. **Economics** = branch of knowledge concerned with production, consumption and transfer of wealth.

Economic Systems

Classified on the basis of **Ownership, Motive and Government Role**: 1. Capitalist Economy 2. Socialist Economy 3. Mixed Economy.

	Capitalist	Socialist	Mixed
Ownership	Private	Public/State	Public + Private
Economic motive	Profit	Social welfare	Both
Government role	No role	Complete involvement	Limited role
Income distribution	Unequal (high inequality)	Equal (theoretically)	Less unequal
Economic freedom	Complete	Lack of freedom	Limited freedom
Example	USA	USSR, North Korea	India ★

HOOK **Socialist Economy = "Centrally Planned Economy"** ★ — govt controls/decides production, exchange, consumption; objective = social welfare, not profit. Eg: USSR.

Spillover Effect — macroeconomics considers this: an event in one part of the economy/world impacts others. E.g. the Great US Depression affecting others.

Types of Economy — Lucent's Fuller Treatment

1. Capitalistic Economy — origin in Adam Smith's *Wealth of Nations* (1776). Adam Smith (1723-1790), Scottish philosopher-economist, professor at University of Glasgow, whose writings formed the basis of classical economics. He opposed heavy-handed government regulation of commerce/industry; stressed '**division of labour**' and '**laissez faire**' (non-interference by government); proposed the '**invisible hand**' of market forces (price mechanism) brings equilibrium and general well-being — while still acknowledging the need for *competition* in the market. Once the USA gained Independence, Smith's

ideas became public policy just one year after *Wealth of Nations* was published; by 1800 'capitalism' was established in Euro-America — later known as Private Enterprise System, Free Enterprise System, Market Economy. Decisions of what/how much/at what price to produce are taken by the market/private enterprises; the state has no economic role.

2. State Economy — rooted in ideas of historical change by German philosopher **Karl Marx (1818-1883)**; first came up in the erstwhile USSR after the **Bolshevik Revolution (1917)**, and got its ideal shape in the People's Republic of China (1949). Two versions: USSR's *socialist economy* and pre-1985 China's *communist economy*. Socialist economy = collective ownership of means of production + large state role; communist economy = state ownership of all properties incl. labour + absolute state power. For Marx, socialism was meant to be a transitional stage to communism — this never happened in reality. Socialist/communist economies criticised capitalism as exploitation-based; capitalist economies in turn called them practitioners of 'state capitalism' where states were the sole exploiters.

3. Mixed Economy — the self-correcting "invisible hand" belief took a setback in the **Great Depression (1929)**, which spread from the USA to Western Europe (mass unemployment, demand collapse, industrial lockouts); Smithonian macro ideas failed to check the crisis. New approach: *The General Theory of Employment, Interest and Money* (1936) by **John Maynard Keynes (1883-1946)**, English economist at Cambridge University. Keynes questioned laissez-faire and the invisible hand — arguing it brings equilibrium but by "strangling the poor"; prices/wages aren't flexible enough to ensure full employment. He suggested **strong government intervention**: increased government expenditure, discretionary fiscal policy (fiscal deficit, lower interest rates, cheap money supply) to boost demand. Keynesian policies successfully pulled economies out of the Depression. Essential goods/services once bought as 'private goods' were made available 'free-of-cost' by the state, freeing up spending money for market demand — this is how the **mixed economy** arrived, challenging classical capitalism.

DOUBT **Prof. Oscar Lange (1904-65)**, Polish philosopher/economist — in the 1950s suggested for the socialist economy what Keynes suggested for the capitalist economy (move a few steps toward the other system); advised state economies to adopt '**market socialism**' (a term he coined). His suggestions were rejected by state economies as compromises seen as blasphemous at the time (this amounted to a suggestion toward democracy from dictatorship). Democracies, being flexible, later benefited from similar experiments. (This Lange/Keynes convergence point is printed twice in the source — once as a pink box, once in running text.)

Some Important Books/Theories of Economics (Lucent table, in full)

Book / Theory	Author
The Wealth of Nations	Adam Smith
Money Illusion	Irving Fisher (printed "Irwin Fisher")
Capital and Growth	Sir J.R. Hicks
General Theory of Employment, Interest and Money	J.M. Keynes
A Discourse on Political Economy	Jean Jacques Rousseau
Planned Economy for India	M. Visvesvaraya
The Value and Capital	Sir J.R. Hicks
The Canon (theory) of Consumer's Surplus	Marshall
Big Push Theory	printed "A.R. Rodon" (usually credited to P.N. Rosenstein-Rodan — as printed, not corrected)
Datt & Sundharam's Indian Economy	Gaurav Datt and Ashwani Mahajan

2 Key Historical Figures & Quotes

Economist	Known as	Key work / idea
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Adam Smith	Father of Micro Economics / Father of Modern Economics	<i>The Wealth of Nations</i> (1776) — Invisible Hand ★ (markets self-regulate via demand/supply → efficient outcomes); Market Economy (self-interest → "Animal Spirit" per Keynes → unintended overall welfare); Laissez-faire Policy (minimal govt interference)
Alfred Marshall	Father of Microeconomics	<i>Principles of Economics</i> (1890) — modern theory of demand/supply; elasticity of demand, consumer surplus, partial equilibrium analysis
J.M. Keynes	Father of Macroeconomics	<i>The General Theory of Employment, Interest and Money</i> (1936) — govt intervention needed to manage "Animal Spirits" during downturns; supported fiscal policy/public spending for demand and employment
Lionel Robbins	Scarcity definition ★	Economics = science studying human behaviour as the relationship between limited resources and unlimited wants

HOOK Key wordings quoted verbatim in the source: "*Most of the decisions are taken as a result of animal spirits*" — John Maynard Keynes. "*Managing animal spirits requires active role of the government*" — Robert J. Shiller (Nobel Prize-winning economist). "*We need to revive the animal spirit in the country's economy*" — Manmohan Singh.

3 Classification of Goods & Public Goods

Goods classified on two criteria: **Excludability** (can a non-payer be prevented from using it?) and **Rivalry** (does one person's consumption reduce availability for others?).

	Rivalrous	Non-rivalrous
Excludable	Private Goods — paid for, consumption reduces availability. Eg: food, clothing, cars, parking spaces	Club Goods — paid for, shareable without reducing supply. Eg: cinemas, private parks, Netflix subscription
Non-excludable	Common Pool Resources — free access, finite supply, depletable. Eg: ocean fish stocks, forest timber, coal	Public Goods ★ — free to all, one's use doesn't hurt another's. Eg: national defence, street lights, free-to-air TV

TRAP **Public goods** are *non-rivalrous + non-excludable* — benefits available to all, no one easily excluded ★. **Non-rivalrous** specifically = one person's use doesn't reduce availability for another (e.g. street light) ★. Clothes are a *private* good, not public.

Opportunity Cost ★ (yellow box) = value of the next best alternative given up. Natural resources like sunlight often have zero opportunity cost for the consumer. **Free Rider Problem** (black box) = a challenge with Public Goods where people benefit without paying (e.g. using a street light without paying taxes).

4 Sectors of the Economy

Sector	Collar	Nature	Examples
Primary ★	Red	Directly dependent on the environment ★; mostly agricultural activities in India	Agriculture, fishing, hunting, forestry, mining ★
Secondary ★	Blue	Manufacturing sector — adds value by transforming raw materials into products ★; "backbone of a country" for industrialisation (Eg: China); India hasn't developed this fully as it leapt directly to tertiary	Manufacturing, processing, construction, electricity
Tertiary	White	Service sector; mostly intangible	Teaching, transport, advertising, retail, hospitality, healthcare

Quaternary	Gold ("Knowledge Sector")	Knowledge-based activities/intellectual services	Senior [Executive], Business Executive, Teaching, Manager, Banking, Chartered Accountant, Lawyer, Scientists
Quinary	Gold	High-level knowledge-based activities requiring expertise/advanced skill — all decision-making activity is here	Media, Financial Services, Education, Research Scientists, IT, Policy makers, Politicians

HOOK During British colonial rule, ~85% of India's population lived in villages, ~70-75% engaged in agriculture directly/indirectly. **"Agriculture Sector is considered the backbone of Indian Economy."** Blue-collar jobs = physical work/practical skills (construction, manufacturing, maintenance). Extraction of oil from groundnut = **Secondary** sector ★ (processing/manufacturing).

2011 Census	Primary	Secondary	Tertiary
LFPR	54.6% (highest)	24.3%	21.1%
% in GDP	14.39%	31.46%	54.15% (highest)

LFPR = Labour Force Participation Rate. Percentage of women engaged in Primary Sector: **62.8%** (as printed, no year/source given).

Sectors on the basis of employment

Organized sector	Unorganized sector
Regular terms of employment; registered by govt; follows Factories Act, Minimum Wages Act, Payment of Gratuity Act, Shops & Establishments Act; paid on prescribed scale, on time; gets annual increment, PF, paid holidays/leave, gratuity, medical benefits, safe conditions; can form trade unions	Small/scattered units, largely outside govt control; no rules/regulations followed; most jobs low-paid/irregular; no overtime/paid leave/holidays/sick leave provision; cannot form trade unions

HOOK Initiative for unorganised sector: the **E-Shram Portal, 2021** — flagship initiative for a comprehensive National Database of Unorganised Workers (NDUW), seeded with Aadhaar.

Real vs Financial Sector

Real Sector: actual production of goods/services using raw materials (land, labour). **Financial Sector:** deals with financial assets — mutual funds, stocks, banking services.

Sectors on the basis of ownership

	Public Sector ("For Society")	Private Sector ("For Profit")
Definition	Govt-owned organisations/services	Businesses owned by individuals/companies
Examples (as pictured)	BHEL, SAIL, ONGC	Reliance (and other private-sector logos, not individually legible in the source)
Key work	Funded by taxes; focus on public welfare; non-profit-oriented	Profit-driven; competitive; market-oriented; profit over welfare
Benefits	Equal access, stability	Innovation & efficiency
Challenges	Public goods (provision burden)	Job insecurity

5 Normative vs Positive Economics; Parallel Economy

Normative Economics	Positive Economics
Based on opinion/values of the interpreter	Based on actual data, facts, numbers
Verification not possible	Results can be verified
No way to test feasibility/applicability across fields	Safe, beyond doubt, provable scientifically
Deals with idealistic situations	Deals with actual/realistic situations

Eg: unemployment must be 5% maximum

Eg: current unemployment rate is 20%

DOUBT **Parallel Economy** = all forms of activity generating unaccounted "black income" (incl. illegal activities like trafficking). One source line reads "it renders punctuation by Government punctuation" — garbled as printed in the original, meaning unclear (likely "sanction/punishment"), not corrected here.

6 Microeconomics — Scarcity, PPF & Opportunity Cost

DOUBT Structural oddity in the source: Ch.2 "Microeconomics" opens with a box headed "MACROECONOMICS" covering scarcity/PPF/opportunity cost/utility/indifference curve — genuinely microeconomic content under a Macroeconomics label, transcribed as printed, not corrected.

The fundamental problem of economics = conflict between limited resources and unlimited human wants.

Scarcity: resources (money, land, labour, time) are finite. **Choice:** because resources are limited, an economy cannot produce everything — must choose how to allocate resources effectively.

Production Possibility Curve/Frontier (PPF) — graph showing combinations of two goods/services an economy can produce when all resources are used efficiently. Example given: person with ₹6000 can buy 6 pairs of shoes OR 6 pairs of jeans (or some mix) — spending it all on one leaves none for the other.

Graph 1 characteristics: shows trade-off between two goods (shoes/jeans); slope downward (negative) — producing more of one good needs less of the other, given limited resources. PPF can shift outward (with more resources/technology).

Marginal Rate of Transformation (MRT) = slope of the PPC; the amount of one good that must be sacrificed to produce one extra unit of another. Wanting more shoes means giving up jeans and vice versa — an inverse relationship due to budget limitation.

HOOK At any point relative to the PPF: **on** the curve = full utilisation of resources; **under** the curve = under-utilisation; **above/over** the curve = not achievable given current resources.

Opportunity Cost = value of what you give up when choosing one thing over another. Example: with ₹6000, choosing jeans over shoes means the shoes are the opportunity cost. **Free Goods:** air and sunlight have no opportunity cost — abundant, not scarce, no sacrifice needed.

Utility

Utility = satisfaction/benefit derived from consuming a good or service.

Cardinal Utility	Ordinal Utility
Satisfaction measured in numerical values (quantitative) — less realistic	Satisfaction ranked (qualitative/psychological) — more realistic

Indifference Curve — graph showing different combinations of two goods giving the consumer the same satisfaction/happiness. Example: point A = 1 unit food + 12 units clothing; point B = 2 units food + 6 units clothing — both equally satisfying, same IC.

HOOK Indifference curve properties: **Shape** = convex to origin (rectangular hyperbola); **Slope** = determined by **Marginal Rate of Substitution (MRS)** = $\Delta \text{Sacrifice} / \Delta \text{Gain}$ — rate a consumer will give up one good for another at equal satisfaction; **No Intersection** — two ICs never intersect.

Marginal Utility = additional satisfaction/benefit from buying one more unit of a good/service.

Marginal Product (MP) = additional output from one more unit of a factor of production (usually labour).

Marginal Cost (MC) = change in total cost from producing one more unit. **Marginal Revenue (MR)** = additional income from selling one more unit.

Cost Curves

Average Fixed Cost (AFC) = total fixed costs (e.g. rent) that stay constant as output changes — AFC curve slopes downward. **Average Variable Cost (AVC)** = relationship between a firm's variable costs (e.g. raw materials) and output level in the short run — U-shaped curve. **AVC + AFC = Average Total Cost (ATC).**

DOUBT Source heading reads "Average fixed cost curve and Variable fixed cost curve" — the second curve described and graphed is actually Average Variable Cost (AVC); transcribed as printed.

Law of Diminishing Marginal Utility — as a person consumes more units of a good, the additional satisfaction from each extra unit gradually decreases, other factors constant. (Source's own Hinglish example: "Jab tum pahla golgappa khate ho toh jo anand ki prapti hoti hai woh dusre golgappe main nahi hoti kyunki dhire dhire additional satisfaction (utility) kam hota jata hai.") Beyond a point, MU can hit zero (point of satiety) then go negative.

Isoquant Graph — curve showing input combinations (e.g. labour and capital) producing the same output quantity. Slope = **Marginal Rate of Technical Substitution (MRTS)**.

7 Demand, Supply & Equilibrium

Demand = quantity of a good/service consumers are willing AND able to buy at a given price over a period. **Law of Demand** ★ = inverse relationship between price and quantity demanded — true only when: (1) income is constant, (2) price of other goods is constant, (3) no change in preferences (i.e. *ceteris paribus*).

Movement in the demand curve = happens with a change in the product's own price. **Shift** in the demand curve = happens when factors *other than price* change (income, preferences, related-goods prices) — shifts can be rightward (demand increase) or leftward (demand decrease).

TRAP Exceptions to the Law of Demand ★:

- **Giffen Goods** ★ — inferior/non-luxurious goods where demand may *increase* with price rise, due to absence of better alternatives or limited purchasing power. Eg: increase in price of wheat (Parmar's own example — standard textbooks usually cite potato/inferior grains instead, flagged not corrected).
- **Veblen Goods** ★ — luxury goods with a *direct* price-demand relationship; demand rises as price rises. Eg: iPhone, Mercedes.

Substitute goods (tea & coffee) still *follow* the Law of Demand — not an exception themselves.

Ex Ante (Expected) Aggregate Demand = intended expenditure on goods/services in a given period.

AD = C (intended consumption) + I (intended investment) — as printed, no G or NX term.

Equilibrium: AD = AS. If AD > AS, producers increase output; if AD < AS, inventory builds up and producers cut output.

DOUBT NOTE in source: in macroeconomics, treating a single commodity as representative of all goods simplifies aggregate analysis — lets economists model total production/price levels as a single variable (this does NOT mean all individual goods behave identically under inflation — a distinct, false claim tested elsewhere as a Reason in an A-R question).

Supply = amount of a product/service available for purchase/use. **Supply Curve** = graphical relationship between price and quantity producers are willing/able to supply — producers want to maximise profit; positively sloped (direct price-quantity relationship — better price, more production).

Equilibrium = point where demand curve intersects supply curve → "equilibrium price"/market clearing price; Quantity Demanded = Quantity Supplied. Left of equilibrium (below price) = **Deficit**; right of equilibrium (above price) = **Surplus**. Equilibrium shifts if any underlying factor shifts — demand ↓ shifts curve left, demand ↑ shifts curve right.

8 Elasticity — Full Treatment

Price Elasticity of Demand: $e_d = \frac{\% \Delta \text{ demand}}{\% \Delta \text{ price}}$.

Type	Meaning	Example (as printed)
Perfectly Elastic ($e=\infty$)	Tiny price rise → demand to zero; tiny price fall → demand to infinity	"Luxury products such as gold and cars" — flagged: conflicts with the source's own later statement that Perfect Competition/agriculture products is the $E_d=\infty$ case; also, luxury goods are normally relatively elastic, not perfectly elastic. Both printed, neither corrected.
Relatively Elastic ($e>1$)	Small price change → large quantity-demanded change	—

Perfectly Inelastic ($e=0$)	Quantity demanded fixed regardless of price	Necessary goods — water, wheat, rice
Relatively Inelastic ($e<1$)	Price changes more than quantity demanded	—
Unitary Elastic ($e=1$)	Proportional price/demand change; rectangular hyperbola curve; total revenue is maximum (as printed — standard theory says TR is constant along the curve and maximised at the unit-elastic point of a linear demand curve, flagged not corrected)	—

HOOK Worked example ★: price $\uparrow 10\%$, quantity demanded $\downarrow 20\% \rightarrow E_d = 20/10 = 2 \rightarrow$ **Elastic Demand** ($E>1$, since $2>1$) — a small price change causes a large demand change.

Income Elasticity of Demand = relationship between change in quantity demanded and change in real income. Income Elasticity = $\% \Delta$ quantity demanded / $\% \Delta$ income.

Luxury Goods	Inferior Goods
Income elasticity > 1 (positive); demand rises more than proportionately with income. Eg: luxury cars, designer clothes, expensive vacations	Income elasticity < 0 (negative); demand falls as income rises (switch to better quality). Eg: low-quality food grains, public transport instead of cars

Cross-Price Elasticity = how a change in the price of one good affects demand for another. Example: Pepsi price $\uparrow 10\% \rightarrow$ Coke demand $\uparrow 5\%$. Negative cross-price elasticity = **Complementary Goods** (price of Y $\uparrow \rightarrow$ quantity of Y $\downarrow \rightarrow$ quantity of X also $\downarrow$, since X and Y are consumed together).

Substitute Goods	Complementary Goods
Can be used in place of one another; competitive demand; price of one substitute has a <i>positive</i> relationship with quantity demanded of the other. Eg: Tea & Coffee, Coke & Pepsi	Used together to satisfy a want; joint demand; price of one has a <i>negative</i> relationship with quantity demanded of the other. Eg: Tea & Sugar, Car & Petrol

9 Returns, Costs & Profit Concepts

Law of Diminishing Returns — after a certain level, additional inputs yield smaller output gains; applies in short-run production (at least one factor, typically capital, is fixed while labour/raw materials vary). Curve zones: Most Productive $\rightarrow$ Point of Diminishing Returns $\rightarrow$ Diminishing Returns $\rightarrow$ Point of Maximum Yield $\rightarrow$ Negative Returns.

Term	Definition
Fixed Cost	Constant regardless of production volume. Eg: rent, licence cost, registration cost
Variable Cost	Fluctuates directly with output. Eg: raw materials, shipping
Explicit Cost	Direct payment made to others in running a business. Eg: wage, rent, materials
Sunk Cost	Incurred in the past, cannot be recovered. Eg: advertising expense, legal/accounting fee
Break-Even Point	Where total revenue = total cost — "no profit, no loss" point
Production Function	Relationship between inputs used and output produced
Abnormal Profits	Profits earned above and beyond the opportunity cost of the factor inputs
Optimum Profit	Max achievable profit, occurring where Marginal Revenue (MR) = Marginal Cost (MC)
Regulated Profit	Max earnings/prices/rate of return set by govt authorities for specific industries, to prevent monopoly abuse and ensure fair consumer pricing

HOOK **Bandwagon Effect (Demonstration Effect)** ★ — demand for a commodity rises because others are also consuming it. Eg: buying the 2nd edition of Fatman, buying a new phone everyone else is buying. **Snob Effect** ★ — demand *falls* as a commodity becomes common (opposite of Bandwagon); consumers want exclusivity. Eg: buying a limited-edition watch.

10 Market Structures

Market	Sellers	Product	Entry	Other features	Example (as printed)
Monopoly ★	One	No close substitutes	High barriers	—	Indian Railways
Oligopoly	Few large firms	Similar/differentiated	No easy entry	Many buyers for one product	Telecom sector, laptop market
Monopolistic Competition	Many	Similar but differentiated	Easy entry/exit	Some price control; highly elastic but not perfectly elastic	Toothpaste
Perfect Competition	Many	Identical (homogeneous)	No barriers	Price set by supply/demand; $E_d = \infty$ (perfectly elastic)	Agriculture products

11 Macroeconomic Concepts

Marginal Propensity to Consume (MPC) = portion of additional income spent on consumption rather than saved; measures how much consumption rises per unit rise in income. MPC is lower at higher income levels. $MPC = \Delta C / \Delta Y$, value $0 < MPC < 1$. Worked example: income ↑ ₹10,000, spending ↑ ₹1,000 → $MPC = 1000/10000 = 0.1$.

Autonomous Expenditure = spending occurring regardless of income level; independent of income. $C = A + cY$ (A = income-independent consumption; cY = income-dependent consumption, c=MPC, Y=income level; C=total consumption). **Savings = 1 - c**. **Multiplier = $1/(1-c)$** . **MPC + MPS = 1** (MPS = Marginal Propensity to Save).

12 Economic Growth & Development (Lucent)

Growth (a term from life sciences) = increase in economic variables over time; its key feature is *quantifiability* — measurable in absolute terms (per the IMF/World Bank's own yardstick of development). Measurement units vary by variable: food production in tonnes, road network in km, total production value in currency terms, per-capita income in monetary terms. Economic growth is thus a *quantitative progress*. **Growth rate** = period-on-period difference converted to percentage; an annual concept unless another period is specified. Growth is technically value-neutral (can be positive or negative), but is generally used in the positive sense — negative growth is called out explicitly as '*negative growth*'.

DOUBT The following FY2024-25 growth figures are time-sensitive (sourced to BHARAT 2025/Economic Survey 2024-25/RBI Bulletin Dec 2024) and will be superseded by later releases — included here for full source coverage, not as current data to rely on.

Economic Growth (data box): NSO/MoSPI released Q2 FY2024-25 GDP estimates — Real GDP grew **5.4%** in Q2 FY25 vs **8.1%** in Q2 FY24. Real GVA (H1, Apr-Sep) grew **6.2%** despite sluggish manufacturing/mining. Real GDP (constant prices) Q2 FY25 = ₹44.10 lakh crore vs ₹41.86 lakh crore Q2 FY24 (5.4% growth). Nominal GDP (current prices) Q2 FY25 = ₹76.60 lakh crore vs ₹70.90 lakh crore Q2 FY24 (8.0% growth).

Prices: retail inflation (CPI Combined, Base 2012=100) fell to **5.4%** in 2023-24 from 6.7% in 2022-23; FY2024-25 average retail inflation (Apr-Oct) = 4.8%.

GDP Growth: India's GDP at constant (2011-12) prices grew 6.7% (Q1) and 5.4% (Q2) FY25 → 6.0% real GDP growth in H1 FY25.

GDP by Expenditure Categories: Private Final Consumption Expenditure (PFCE) grew 6.7% YoY in H1 FY25; rural demand contribution signalled by 2/3-wheeler and tractor sales; NABARD's Jan 2025 Rural Economic Conditions and Sentiments Survey found 78.5% of rural households reported increased consumption expenditure over the last year.

Manufacturing Sector Growth: industrial sector grew 6% in H1 FY25 (ES 2024-25) — Q1 strong at 8.3%, Q2 moderated. Oil companies hurt by inventory losses/lower refining margins; steel companies faced price pressure/lower global prices; cement sector saw weak Q2 demand (heavy rains, lower selling prices). Manufacturing PMI for Dec 2024 stayed in expansionary zone, above its long-term average (new business gains, robust demand, advertising). RBI's Industrial Outlook Survey: manufacturers reported improved Q3 FY25 demand, expected further improvement in Q4 FY25/Q1 FY26.

Services Sector Growth: 7.1% growth in H1 FY25, all sub-categories performing well; PMI services in expansionary zone (new orders, output, sales, employment generation up); hospitality sector's H1 FY25 occupancy rates similar to prior year; air cargo activity grew in double digits, port traffic stable; IT companies performed better quarter-on-quarter (RBI Bulletin, 24 Dec 2024).

Economic Development: economists until the 1950s failed to distinguish growth from development, though aware of the conceptual difference. From the 1960s onward, economists observed countries with comparatively higher growth but comparatively low quality of life. Development reflects quality of life via variables such as: (1) level of nutrition, (2) reach of healthcare facilities (hospitals, medicines, safe drinking water, vaccination, sanitation), (3) level of education, (4) other quality-of-life variables. A basic minimum level of quality-enhancing inputs requires a guaranteed minimum income, which comes from productive activity — so growth must be assured before development can be. Higher economic development requires higher economic growth, but higher growth does NOT automatically bring higher development — a distinction early economists failed to draw clearly.

Appendix

A.1 — PYQ citation index (bucket "01 Fundamental Principles of Economy", all 47 Qs)

Fact tested	Exam · Date · Shift
PESTEL 'E' = Economic	SSC CPO Tier-I, 12/12/2025 (Shift-01)
TR maximised at $E_d=1$	SSC CPO Tier-I, 11/12/2025 (Shift-01)
Public goods non-excludable/non-rivalrous	SSC CHSL Tier-I, 14/11/2025 (Shift-03)
AD single-aggregate-good simplification (A-R)	SSC CGL Tier-I, 20/09/2025 (Shift-02)
Opportunity cost = next best alternative	SSC CGL Tier-I, 20/09/2025 (Shift-01)
Snob effect vs Bandwagon vs Veblen vs Demonstration	SSC CGL Tier-I, 25/09/2025 (Shift-02)
Break-even = $TR=TC$	SSC CGL Tier-I, 14/10/2025 (Shift-02)
Robbins' scarcity definition (1932)	SSC CGL Tier-I, 26/09/2025 (Shift-03)
Invisible Hand = self-interest → market equilibrium	SSC Stenographer, 07/08/2025 (Shift-03)
Macroeconomic indicator = national unemployment rate	SSC Phase XIII, 28/07/2025 (Shift-01)
Aggregate Demand = $C+I+G+(X-M)$	SSC Phase XIII, 24/07/2025 (Shift-01)
Barter double-coincidence of wants (A-R)	SSC Phase XIII, 29/08/2025 (Shift-01)
'What to produce' = capital vs consumer goods	SSC Stenographer, 08/08/2025 (Shift-03)
AVC curve U-shaped (law of variable proportions)	SSC Stenographer, 07/08/2025 (Shift-02)
Elasticity of supply >1 = relatively elastic supply	SSC Phase XIII, 30/07/2025 (Shift-03)
NOT an exception to Law of Demand = Substitute goods	SSC Phase XIII, 25/07/2025 (Shift-03)
Giffen/Veblen as exceptions to Law of Demand	SSC CPO Tier-I, 13/12/2025 (Shift-01)
'What to produce' decision	SSC Stenographer, 08/08/2025 (Shift-03)
Law of Diminishing Marginal Utility (Gossen)	SSC Stenographer, 06/08/2025 (Shift-01); SSC Phase XIII 29/07/2025 (Shift-02)
Match: Law of Demand/Dim. Marginal Product/Variable Proportions	SSC Stenographer, 06/08/2025 (Shift-01)
Scarcity problem = limited resources, unlimited wants	SSC Stenographer, 07/08/2025 (Shift-01)
Capital formation = investment in machinery/infra	SSC Stenographer, 06/08/2025 (Shift-03)
IRS: inputs+50% → output+75%	SSC Phase XIII, 29/08/2025 (Shift-02)

Economies of scale = falling average cost	SSC Phase XIII, 02/08/2025 (Shift-02)
Demand curve shows price-quantity relationship	SSC Phase XIII, 26/07/2025 (Shift-02)
Elasticity of supply formula	SSC CPO Tier-I, 12/12/2025 (Shift-02)
Giffen Paradox (necessary goods)	SSC CPO Tier-I, 13/12/2025 (Shift-01)
Indifference curve = equal satisfaction combos	SSC CGL Tier-I, 19/09/2025 (Shift-03)
Opportunity cost (micro) = best alternative forgone	SSC CPO Tier-I, 10/12/2025 (Shift-02)
Law of demand statement	SSC CGL Tier-I, 25/09/2025 (Shift-01)
Liquidity trap (Keynes)	SSC PHASE XIII, 24/07/2025 (Shift-03); 28/07/2025 (Shift-02)
Bhutan = first country, Gross National Happiness	SSC Phase XIII, 28/07/2025 (Shift-02)
Pairing: Macroeconomics-National Income	SSC Stenographer, 08/08/2025 (Shift-01)
India 1947-90 = Mixed Economy	SSC Phase XIII, 29/08/2025 (Shift-02)
Centrally planned vs market economy (statements)	SSC Phase XIII, 29/07/2025 (Shift-02)
Groundnut→oil = Secondary sector	SSC CHSL Tier-I, 20/11/2025 (Shift-02)
Primary sector = raw-material extraction	SSC CHSL Tier-I, 19/11/2025 (Shift-03)
Non-rivalrous meaning	SSC CHSL Tier-I, 18/11/2025 (Shift-03)
India's mixed economy under Five-Year Plans	SSC CPO Tier-I, 09/12/2025 (Shift-01)
Socialist = Centrally Planned Economy	SSC CPO Tier-I, 13/12/2025 (Shift-01)
Mixed economy definition	SSC CGL Tier-I, 19/09/2025 (Shift-01)
Govt's economic role = laws/justice	SSC CGL Tier-I, 18/09/2025 (Shift-02)

Coverage note: "Liquidity Trap" and "Bhutan/GNH" facts are sourced to the PYQ book's own explanation text (not in Parmar/Lucent's Ch.1-2/§2) — see A.2. Every other row above is backed by the full-coverage content in §1-§12 above.

A.2 — PYQ-book-only facts (not in Parmar/Lucent Ch.1-2 or §2)

- Hermann Heinrich Gossen as first propounder of the Law of Diminishing Marginal Utility.
- Lionel Robbins' scarcity definition dated to 1932, from "An Essay on the Nature and Significance of Economic Science".
- "Giffen Paradox" as a named term for the Giffen-goods exception.
- Bhutan / Gross National Happiness as first-country fact.
- Liquidity Trap's full mechanics (the raw extraction's Ch.6-8 files cover this in more depth — see Batch 5).

A.3 — Doubts (carried from the raw extraction, full list)

- Perfectly Elastic Demand example ("gold and cars") conflicts with the source's own Perfect Competition example ("agriculture, $E_d = \infty$ ") — both transcribed as printed.
- Giffen-goods example given as "wheat" (Parmar) rather than the more usual potato/inferior-grain textbook example.
- Unitary elastic demand: source says "total revenue is maximum" — standard theory says TR is constant along the whole curve, maximised only at the unit-elastic point of a linear demand curve.
- "Average fixed cost curve and Variable fixed cost curve" heading — the second curve is actually AVC.
- Typos preserved in the economist/books table: "Irwin Fisher" (Irving Fisher), "M. Vishveshwaraia" (Visvesvaraya), "A. R. Rodon" (usually P.N. Rosenstein-Rodan for Big Push Theory), "Sri J.R. Hicks".
- "Smithonian", "empolyment", "practioners", "exploitators", "outrightly", "Discources" — typos preserved verbatim per standing non-correction policy.
- Parallel Economy's garbled sentence ("renders punctuation by Government punctuation") — meaning unclear, not corrected.
- "Percentage of women engaged in Primary Sector: 62.8%" has no year/source given.
- Public/Private sector table logos beyond BHEL/SAIL/ONGC/Reliance are not independently verifiable at source resolution.